TEACHER GUIDE DRAFT

Leaving Certificate Business (current syllabus)

# Marketing mix: promotion

Unit 5: Business in action
**5.2 The marketing mix: promotion**



A revision lesson. Pupils run a car dealership in firms of four and revise marketing mix: promotion on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same.

## 1 Ad return as %

Round 1

Was the advert worth it?

**Profit from the advert, as % of its cost?**

| | |
|---|---|
| The advert costs | **€3,500** |
| Extra sales from it | **7 cars** |
| Margin per car | **€1,225** |

**ANSWER**

**145%**

(7 × €1,225 − €3,500) ÷ €3,500 = 145%

**Why:** Every €1 spent on the advert brought back €2.45.

## 2 Judge the campaign

Round 1

You must judge an online advert campaign.

**Which two measures show its value best?**

- **A** Number of likes
- **B** Cost per sale
- **C** How many people saw it
- **D** Number of clicks
- **E** Profit from the sales it brought

**ANSWER**

**✓ Cost per sale**
**✓ Profit from the sales it brought**

**Why:** Value is in sales and profit; clicks and views do not pay the bills.

## 3 Return on spend

Round 2

Three campaigns: what each cost, and the contribution it brought.

**Order by return on spend, highest first?**

- **A** €1,000 spent, brings €1,600
- **B** €2,500 spent, brings €3,500
- **C** €500 spent, brings €1,000

**ANSWER**

1. **€500 spent, brings €1,000**
2. **€1,000 spent, brings €1,600**
3. **€2,500 spent, brings €3,500**

**Why:** Return: 100%, 60%, 40%. The biggest profit in euros has the lowest return.

# Topic tasks

## 4 Enquiries to profit

Round 2

Enquiries from an advert.

**Profit from the advert?**

| | |
|---|---|
| The advert costs | **€3,475** |
| Enquiries it brings | **30 plain** |
| Conversion rate | **20%** |
| Margin per car | **€1,830** |

**ANSWER**

**€7,505**

20% × 30 = 6; 6 × €1,830 – €3,475 = €7,505

**Why:** A 20% conversion turns 30 enquiries into 6 sales.

## 5 Answer a price cut

Round 3

Your firm is known for the best service in town. A rival cuts its prices by 10%.

**How should you respond, and why?**

**A** Promote your service, keep prices

**B** Match the 10% price cut

**ANSWER**

**✔ Promote your service, keep prices**

**Why:** A price war cuts every margin; promoting what makes you different keeps loyal buyers.

## 6 Best advert return

Round 3

Which pays back more?

**Higher of the two: profit as % of cost?**

| | |
|---|---|
| Radio advert, 70 enquiries | **€4,500** |
| Social advert, 40 enquiries | **€4,500** |
| Conversion rate | **10%** |
| Margin per car | **€2,025** |

**ANSWER**

**215%**

**Radio 215%, social 80%**

**Why:** Compare return on spend, not just profit.

# Final questions

Each pupil answers 6 final questions. Pick the question topic “Promotion and campaigns”: the 6 come from these 10 questions.

1 Paid search costs €2,500 and adds 20% to your next 2 sales, up to €2,000 each. A customer pays €9,000. What does the campaign add to that sale?

✔ **€1,800**

2 Paid search adds 20% to the next 2 sales, up to €2,000 each. Your two sales are €12,000 and €7,000. What is the total bonus?

✔ **€3,400**

3 Social video costs €2,000 and adds 15% to the next 2 sales, up to €1,500 each. Your sales are €8,000 and €6,000. Did the campaign pay for itself?

✔ **Yes: bonuses of €1,200 and €900 make €2,100, €100 more than the cost**

4 You book Local radio (+15% on the next 3 sales) but sell nothing this round. What does your firm get from the campaign?

✔ **Nothing: the bonus is paid on sales, and the cost is already spent**

5 Which statement about the three campaigns is right?

✔ **A campaign raises what your next sales pay, up to a cap per sale; it does not bring extra customers by itself**

6 You expect two sales of about €5,000 each this round. Paid search: €2,500, +20% on 2 sales, cap €2,000. Social video: €2,000, +15% on 2 sales, cap €1,500. Which leaves more after its cost?

✔ **Neither pays: Paid search earns €2,000 for €2,500, Social video €1,500 for €2,000**

7 Your campaign's two bonus sales are used up and the round has five minutes left. What should the Sales & Marketing Director do about marketing?

✔ **Nothing more this round: a second campaign is a new cost, and only one runs a round**

8 Local radio cost €3,000 and added €600, €450 and €750 to three sales. What did the campaign do to the firm's profit?

✔ **It lowered profit by €1,200: €1,800 earned against €3,000 spent**

9 Paid search costs €2,500 and adds 20% to two sales. Roughly what must the two sales add up to for the campaign to break even?

✔ **€12,500**

10 Local radio costs €3,000, +15% on the next 3 sales, cap €1,500 each. Your sales are €11,000, €9,000 and €4,000. What is the bonus, and the profit on the campaign?

✔ **Bonus €3,450; profit €450**